

Amendment No. 1 to SB0858

Briggs
Signature of Sponsor

AMEND Senate Bill No. 858

House Bill No. 939*

by deleting everything after the caption and substituting instead the following:

WHEREAS, the Employee Retirement Income Security Act of 1974 (ERISA) was enacted by the United States Congress to encourage and support employers in offering voluntary pension and welfare benefit plans to their employees by establishing uniform national standards for plan administration, including reporting, disclosure, fiduciary responsibilities, and claims and appeals procedures; and

WHEREAS, 2024 marked the 50th anniversary of ERISA, which for five decades has played a critical role in protecting employees' access to employer-sponsored retirement and health and welfare benefits while providing employers with the flexibility to design benefit plans tailored to their workforce's needs; and

WHEREAS, employer-sponsored retirement and health benefits are a key tool for attracting and retaining a skilled workforce, allowing businesses to compete for talent by offering comprehensive and customized benefits that meet the needs of their employees and their families; and

WHEREAS, ERISA ensures that employers have the flexibility to design and administer benefit plans that best meet the needs of their workforce without being subject to a patchwork of conflicting state regulations, thereby reducing administrative burdens and costs for both employers and employees; and

WHEREAS, Section 514 of ERISA provides that ERISA generally preempts "any and all state laws" to the extent they "relate to" employee benefit plans sponsored by private employers; and

WHEREAS, state and local government efforts to impose additional regulations on ERISA-governed plans create legal uncertainty, increase compliance costs, and deter employers—particularly multi-state businesses—from maintaining or expanding benefit offerings, ultimately reducing employee access to these important benefits; and

WHEREAS, regulatory uncertainty and increased costs discourage business investment and expansion within states that enact laws conflicting with ERISA, making it less attractive for businesses to operate in or relocate to those states; and

WHEREAS, Tennessee seeks to maintain a competitive business environment that encourages employers to provide high-quality retirement and health benefits by ensuring state and local laws do not create unnecessary barriers to the voluntary provision of these benefits; and

WHEREAS, on January 20, 2025, President Donald J. Trump signed an Executive Order establishing the Department of Government Efficiency for the express purpose of government efficiency and productivity, and this General Assembly also believes that through limited government with little interference in the private sector, Tennessee will continue to grow and prosper as a business-friendly state; and

WHEREAS, employers protected by ERISA are free to exercise their religious freedoms granted to them by the Constitution of the United States by designing benefits that align with their morally and closely held religious beliefs; and

WHEREAS, protecting ERISA as the law of the land will keep state and local governments at home or across the country from unnecessary and costly government interference on Tennessee businesses and entrepreneurs, thus allowing business to thrive; now, therefore,

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 50, Chapter 1, Part 4, is amended by adding the following as a new section:

50-1-403.

Notwithstanding another law to the contrary, a law enacted by this state or a political subdivision of this state must not regulate, restrict, or otherwise govern any employer welfare benefit plan subject to preemption under Section 514 of the federal Employee Retirement Income Security Act of 1974 (ERISA) (29 U.S.C. § 1144).

SECTION 2. This act takes effect upon becoming a law, the public welfare requiring it.